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# In the Public Sector

THE ESTABLISHMENT OF THE SBI started a new chapter in the history of banking in India. The bank started to function under the direction of a Central Board and the three Local Boards at Bombay, Calcutta, and Madras. Initially appointed by the government, the Boards consisted of men of outstanding ability and experience in various fields of economic activity. Thus stalwarts such as R.G. Saraiya[1], Sachindra Chaudhuri, Prof. D.R. Gadgil, H.M. Patel (nominated by the government), and B. Venkatappiah (nominated by RBI) joined luminaries like Sir Vithal Chandavarkar, Badridas Goenka, S.V. Ramamurty, and A.D. Gorwala on the Board of the bank. Leading the group was the Chairman, Dr John Matthai.

The objectives of the bank were briefly stated in the preamble to the State Bank of India Act, 1955 as 'the extension of banking facilities on a large scale, more particularly in the rural and semi-urban areas, and for diverse other public purposes'. The AIRCS was more specific and expected the bank to extend its network of offices and thereby spread the banking habit, take over cash work from non-banking treasuries and sub-treasuries by provision of easy remittance facilities, stimulate the growth and development of co-operative and other banks, and in the field of credit, evolve a programme which would be in consonance with national policy.

Matthai's tenure ended less than a year after the SBI was set up when he resigned on June 19, 1956, over the issue of payment of bonus to the 'non-award' or supervisory staff. The government wanted the bonus to be confined to the 'award' staff and such members of the 'non-award' staff